

Marvell (MRVL US)

AI Connectivity & ASIC Momentum to Reinforce CY27/28

Maintained **Buy**
Target price \$350

Maintain Buy and Raise TP to \$350: Marvell is increasingly positioned as a broad-based beneficiary of AI infrastructure scaling, with upside extending beyond custom XPUs into Google-related adjacent silicon and AI interconnect opportunities. We believe CXL/DPU attach content around TPU deployments, Trainium 4, and the initial Maia 300 ramp can drive meaningful ASIC growth, while 800G/1.6T DSP, TIA/driver, NPO/CPO, and DCI modules keep optics as a key growth pillar into CY28. Accordingly, we raise our FY27/28 EPS estimates to \$4.1/\$7.6 and increase our TP to \$350, based on 25x FY29E EPS of \$14.

ASIC to Benefit from the Ramp of Google’s Attach Silicon: We believe TPU v10AX could represent an additional source of upside for Marvell. More importantly, even excluding this opportunity, we see sizable opportunities from Google’s broader AI infrastructure buildout through adjacent silicon content, especially in CXL and DPU. Based on our estimates, CXL and DPU attach content could represent a sizable per-TPU opportunity at scale, implying a multi-billion-dollar TAM as Google’s AI infrastructure deployments expand. For other ASIC projects, we expect Marvell to participate in at least one configuration within Trainium 4. In addition, we estimate Maia 300 shipments to reach approximately 300k units in 2027, marking the first year of volume ramp and creating another meaningful growth vector.

Optics to Remain a Key Growth Pillar: We expect the rapid adoption of 800G and 1.6T pluggable optics over the coming years to drive a corresponding increase in DSP demand, positioning Marvell’s DSP business for continued growth. Scale-up optics revenue is now expected to nearly double versus prior expectations following the integration of Celestial AI, while management also indicated that NPO/CPO opportunities are beginning to transition from customer evaluation into early commercialization, supported by rising networking intensity from reasoning and agentic AI workloads. Meanwhile, Marvell’s TIA and driver franchises are positioned to benefit from early scale-up NPO deployments, creating an additional layer of optical content expansion into CY28.

Risks: 1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Profit forecast

	FY24	FY25	FY26	FY27E	FY28E
Revenue (m)	5,508	5,767	8,195	11,467	19,660
Revenue YoY (%)	-7.0	4.7	42.1	39.9	71.5
Net profit (m)	1,310	1,377	2,466	3,653	6,758
Net profit YoY (%)	-28.1	5.1	79.0	48.1	85.0
EPS (\$)	1.5	1.6	2.9	4.1	7.6
P/E	186.6	178.7	97.1	68.4	37.0
ROE (%)	8.8	10.3	17.2	18.5	22.3

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Earnings revision

By factoring changes in ASIC and Optics, we revise FY27/28 EPS estimates by +0%/+4%.

Figure 1: Earnings revision

USD m	FY26	FY27E		FY28E		Change (%)	
		Old	New	Old	New	FY27E	FY28E
Net sales	8,195	11,467	11,467	18,216	19,660	0%	8%
Gross profit	4,872	6,752	6,752	10,656	11,206	0%	5%
Operating profit	2,889	4,027	4,035	6,971	7,255	0%	4%
Pre-tax Income	2,363	3,849	3,856	6,851	7,135	0%	4%
Net profit	2,466	3,645	3,653	6,489	6,758	0%	4%
EPS (\$)	2.88	4.08	4.09	7.26	7.57	0%	4%
Key ratios (%)							
Gross margin	59.5%	58.9%	58.9%	58.5%	57.0%		
Operating margin	35.3%	35.1%	35.2%	38.3%	36.9%		
Pre-tax margin	28.8%	33.6%	33.6%	37.6%	36.3%		
Net profit margin	30.1%	31.8%	31.9%	35.6%	34.4%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: MRVL's P&L forecast

(USD m)	FY26	F1Q27	F2Q27E	F3Q27E	F4Q27E	FY27E	F1Q28E	F2Q28E	F3Q28E	F4Q28E	FY28E
Sales	8,195	2,418	2,634	3,004	3,411	11,467	3,525	4,225	5,157	6,753	19,660
COGS	3,323	994	1,083	1,235	1,402	4,714	1,516	1,817	2,218	2,904	8,454
Gross profit	4,872	1,424	1,551	1,769	2,009	6,752	2,009	2,408	2,940	3,849	11,206
Opex	1,983	714	782	846	930	2,717	1,029	1,146	0	911	3,952
Operating profit	2,889	847	907	1,055	1,226	4,035	1,163	1,478	1,910	2,703	7,255
Non-operating profit	-526	-89	-30	-30	-30	-179	-30	-30	-30	-30	-120
Pre-tax profit	2,363	758	877	1,025	1,196	3,856	1,133	1,448	1,880	2,673	7,135
Income tax	103	-40	-46	-54	-63	-203	-60	-76	-99	-141	-376
Non-GAAP Net Income	2,466	718	831	971	1,133	3,653	1,073	1,372	1,781	2,532	6,758
Non-GAAP EPS (\$)	2.88	0.80	0.93	1.09	1.27	4.09	1.20	1.54	1.99	2.83	7.57
Diluted shares	856	893	893	893	893	893	893	893	893	893	893
Margin analysis											
Gross margin	59.5%	58.9%	58.9%	58.9%	58.9%	58.9%	57.0%	57.0%	57.0%	57.0%	57.0%
Operating margin	35.3%	35.0%	34.4%	35.1%	36.0%	35.2%	33.0%	35.0%	37.0%	40.0%	36.9%
Pre-tax margin	28.8%	31.4%	33.3%	34.1%	35.1%	33.6%	32.1%	34.3%	36.5%	39.6%	36.3%
Effective tax rate	-4.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%
Growth (% YoY)											
Sales	42%	28%	31%	45%	54%	40%	46%	60%	72%	98%	71%
Operating profit	74%	31%	30%	40%	55%	40%	37%	63%	81%	120%	80%
Net income	79%	33%	42%	48%	65%	48%	49%	65%	83%	123%	85%
EPS	84%	30%	38%	43%	59%	42%	49%	65%	83%	123%	85%
Product mix (%)											
Data center	71%	76%	77%	79%	81%	78%	81%	84%	87%	90%	86%
Carrier	7%	7%	7%	6%	6%	7%	6%	5%	4%	3%	4%
Enterprise networking	10%	10%	9%	8%	7%	8%	7%	6%	5%	4%	5%
Auto industrial	5%	5%	5%	5%	4%	5%	4%	4%	3%	2%	3%
Consumer	3%	2%	2%	2%	2%	2%	2%	1%	1%	1%	1%

Sources: Company data, GF Securities (Hong Kong) Brokerage

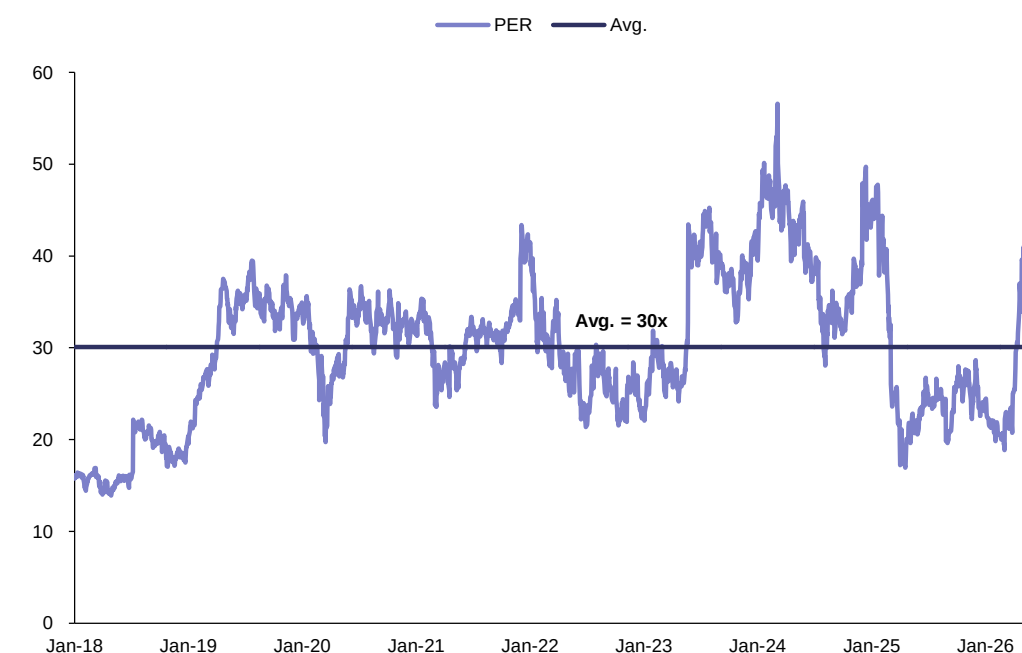
Valuation and Recommendation

Maintain Buy with TP of \$350

We maintain Marvell (MRVL US) at Buy rating with TP of \$350, based on 25x our FY29E (CY2028) EPS estimate. We adopt P/E methodology as we believe the market will be mainly focused on the company's earnings outlook, and we usually apply P/E method to technology firms with robust growth.

Marvell's P/E traded at an average of 20-40x since 2018 since the launch of ChatGPT. On relative basis, the peer group trades at an average of 25-40x forward P/E. Our target price is based on 25x FY29E P/E, which is inline of its mid-term valuation within this AI cycle.

Figure 3: MRVL's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slowdown; 2) ASIC project delay; 3) peer competition.

Balance Sheet						USD mn
	FY24	FY25	FY26	FY27E	FY28E	
Current assets	3,063	3,120	6,461	14,798	39,070	
Cash and cash equivalents	951	948	2,639	10,334	30,340	
Inventory	864	1,030	1,388	1,610	3,250	
Accounts Receivable	1,122	1,028	2,187	2,641	5,227	
Other current assets	126	114	247	213	253	
Non-current assets	18,166	17,084	15,825	17,631	18,958	
Long-term equity investment	-	-	-	-	-	
Fixed assets	756	791	935	1,555	2,821	
Other long-term assets	17,410	16,294	14,890	16,075	16,137	
Total assets	21,229	20,205	22,285	32,428	58,029	
Current liabilities	1,814	2,027	3,221	2,282	3,338	
Accounts Payable	411	622	1,074	1,001	2,021	
Short-term borrowings	107	130	500	-	-	
Other current liabilities	1,296	1,275	1,647	1,280	1,316	
Non-current liabilities	4,583	4,751	4,756	10,420	24,402	
Long-term Debt	4,059	3,934	3,971	9,677	23,584	
Other non-current liabilities	524	816	786	743	818	
Total liabilities	6,397	6,778	7,977	12,702	27,740	
Total Equity	14,831	13,427	14,308	19,727	30,289	
Share Capital	2	2	2	2	2	
Additional Paid-in Capital	14,846	14,535	12,951	17,502	24,999	
Retained earnings	-17	-1,109	1,356	2,223	5,287	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	21,229	20,205	22,285	32,428	58,029	

Income Statement						USD mn
	FY24	FY25	FY26	FY27E	FY28E	
Revenue	5,508	5,767	8,195	11,467	19,660	
Cost of sales	2,137	2,247	3,323	4,714	8,454	
Gross profit	3,371	3,521	4,872	6,752	11,206	
Operating Expense	1,772	1,856	1,983	2,717	3,952	
Operating profit	1,599	1,665	2,889	4,035	7,255	
Interest Income	9	15	-11	-	-	
Interest Expense	212	189	203	289	697	
Net other Non-op. Income/(Loss)	114	-9	-313	110	577	
Pre-tax profit	1,510	1,481	2,363	3,856	7,135	
Income tax	200	104	-103	203	376	
Profit for the year	1,310	1,377	2,466	3,653	6,758	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	1,310	1,377	2,466	3,653	6,758	
EPS (\$)	1.5	1.6	2.9	4.1	7.6	

Cash Flow Statement						USD mn
	FY24	FY25	FY26	FY27E	FY28E	
Operating cash flow	1,548	1,681	1,751	3,700	8,355	
Profit for the year	-933	-885	2,670	1,083	3,284	
Depreciation & amortization	1,400	717	491	401	473	
Change in working capital	58	-852	-1,108	475	3,207	
Others	1,024	2,701	-302	1,741	1,391	
Investing cash flow	-356	-301	2,098	-2,004	-1,266	
Capex	-339	-285	-327	-738	-1,266	
Change in investment	-6	-	2,479	-1,271	-	
Others	-11	-16	-54	5	-	
Free cash flow	1,209	1,397	1,424	2,961	7,088	
Financing cash flow	-975	-1,383	-2,158	6,000	12,917	
Change in Capital	-162	-676	-2,040	-654	-724	
Net Change in Debt	-327	-109	969	5,207	13,907	
Others	-485	-598	-1,087	1,447	-266	
Exchange influence	-	-	-	-	-	
Net increase in cash	217	-3	1,691	7,696	20,006	

Key Financial Ratios					
	FY24	FY25	FY26	FY27E	FY28E
Growth					
Revenue growth	-7.0	4.7	42.1	39.9	71.5
Operating profit growth	-23.8	4.1	73.5	39.7	79.8
Net profit growth	-28.1	5.1	79.0	48.1	85.0
Profitability					
Gross profit margin	61.2	61.0	59.5	58.9	57.0
Operating Profit Margin	29.0	28.9	35.3	35.2	36.9
Net profit margin	23.8	23.9	30.1	31.9	34.4
Key Ratio					
ROA	6.0	6.6	11.6	13.4	14.9
ROE	8.8	10.3	17.2	18.5	22.3
Stability					
Gross debt/equity	43.1	50.5	55.7	64.4	91.6
Interest Coverage	8.1	8.8	12.7	14.3	11.2
Current Ratio	1.7	1.5	2.0	6.5	11.7
Quick Ratio	1.2	1.0	1.6	5.8	10.7
Net debt/equity	21.7	23.2	12.8	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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